



) Absa Bank Kenya PLC (

Investor Relations



Agenda

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Business overview

2

Financial performance

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Guidance

4

Strategic outlook



Business Overview



Abdi Mohamed
Chief Executive Officer

Operating environment: Operating environment remains challenging complex and dynamic

5.2%

Average GDP growth rate
2024-2026



4.3%

June inflation with a 3.9% 2024
inflation outlook



Inflation

12.75%

A 25bps rate cut in August



CBR

43.1%

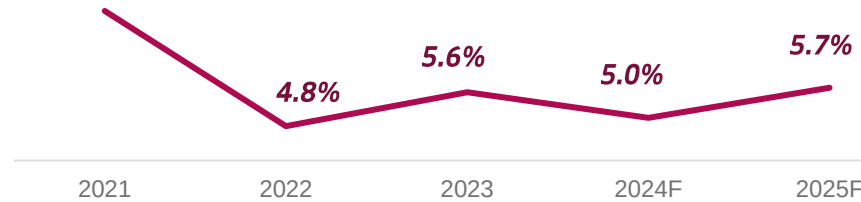
PMI demonstrating reduced
consumer purchasing power



Purchasing
power

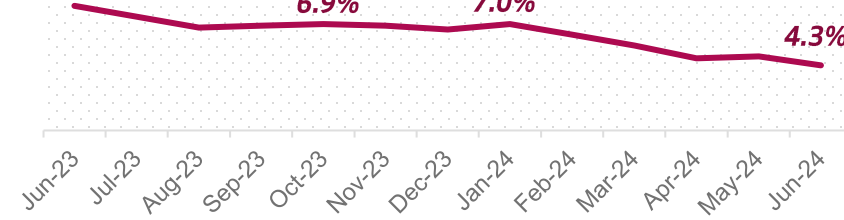
1. Resilient economy

7.5%



2. Average Inflation

7.9%



3. CBR

10.5%



4. PMI

50%



Headwinds

1. Escalating geopolitical conflicts impacting supply chains and fueling global inflation
2. US and EU policy rates remain high limiting access to credit for developing countries
3. Country downgrade by global rating agencies
4. Constrained consumer purchasing power



Tailwinds

1. Stable currency (17% appreciation) with stable FX reserves
2. Anchored inflation
3. Resilient economy with positive growth projection
4. Strong performance in key sectors



Our strategy: We refined our strategy and achieved significant H1 milestones

Re-anchored strategy



Achievements on strategy execution

Strategic Pillar 1

- ↑ **33% growth in Customer numbers**
- ↑ **5x growth in agency banking outlets**
- ↑ **32% growth in Timiza Disbursements**

Strategic Pillar 2

- ↑ **Double-digit growth in LaRiba and Women in business propositions**
- **Wezesha platform supporting our ecosystem strategy**

Strategic Pillar 3

- ↑ **29% in Primacy Customers**
- ↑ **84% of our CIB customers are Digitally active**

Strategic Enabler 1

- ↑ **+KES 3 billion** scoped in **technology modernization**
- **High Level of Back Office Automation**

Strategic Enabler 2

- ↑ **20% growth in Connection and Relevance**
- **Number 1 Trusted Financial institution**

Strategic Enabler 3

- ↑ **53%:47% Male : Female** in leadership
- ↑ **Certified Top Employer 3 years** in a row



For our customers: We are enabling customer aspirations while supporting them to navigate a tough operating environment

Continued supporting our customers with financial and non-financial skills to support their growth ambitions

New Gross Lending

KES 64 billion

Timiza

MSME

Mortgages

Working capital

Corporate trade finance

Non- Financial Skills

14,000+

Women in businesses

MSME

Post harvest losses management

...and through a tough operating environment

Restructures

KES 1,387 mn

For individuals and businesses

...while sustaining innovation to meet their evolving needs

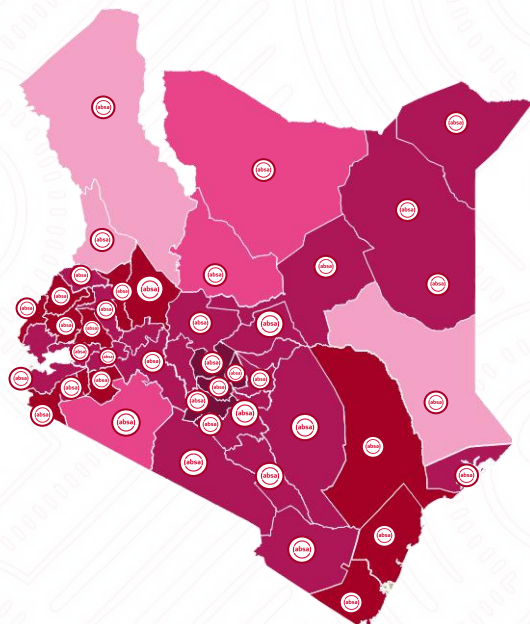
1. **World remit partnership** to support wider remittance business
2. **Digital savings account**
3. **Absa Digi Loan – Short term loans**
4. **La Riba unsecured personal financing**
5. **eCitizen payments gateway**
6. **Microinsurance for SMEs**
7. **Card Innovation -Business to Business (B2B) and Infinite**



For our customers: We are expanding our local and global footprint

Local reach

Distribution reach



85(+3)
Branches

3,131(5x)
Agents
(Taking us to every county)

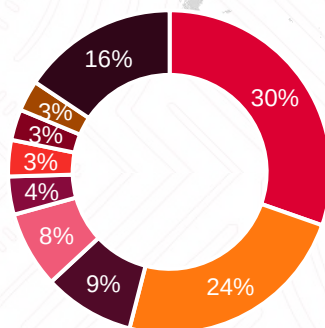
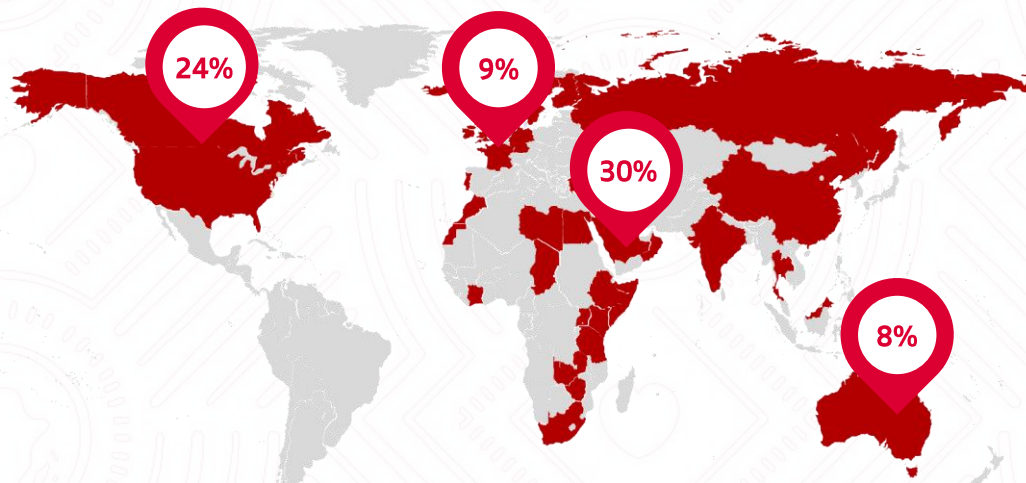
198
ATMs

10,548
POS

60
Cash
Deposit
Machines

Global reach

Our diaspora proposition

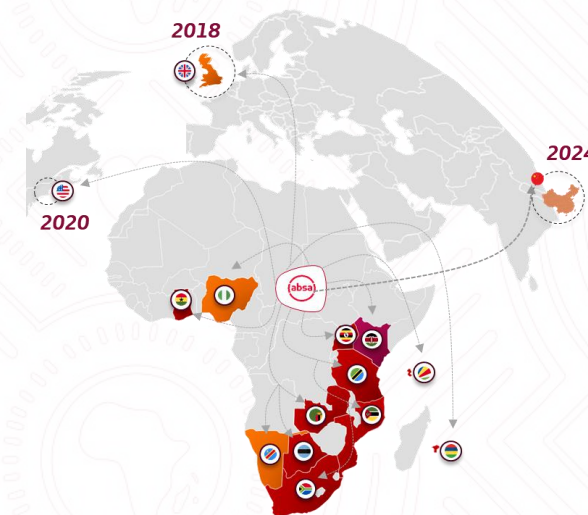


■ Middle East ■ United States ■ United Kingdom
 ■ Australia ■ Canada ■ Germany
 ■ Kiribati ■ South Africa ■ Others

Accessible in 40+ countries

- Current Account
- Insurance
- Wealth/Investments
- Advisory
- DhowCSD

Large Africa footprint with global offices



Three representative offices to serve our global clients: *London, New York and Beijing*. China is the biggest trade partner with Kenya and also Africa

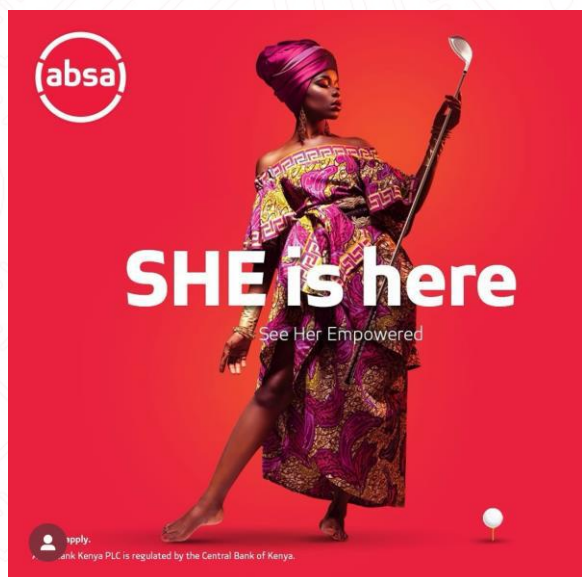
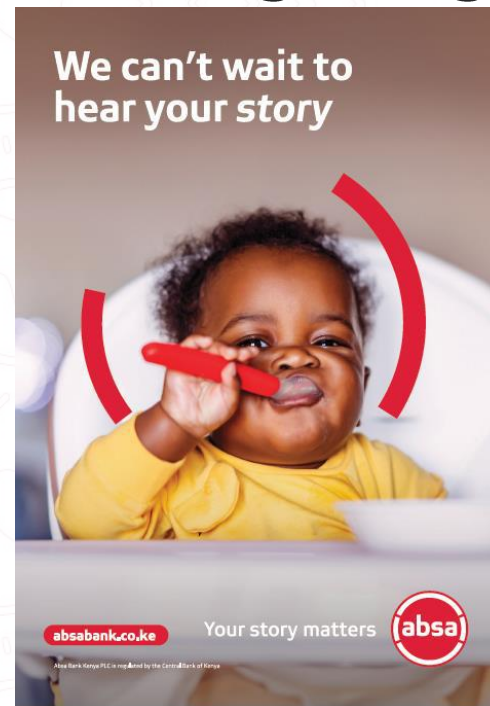
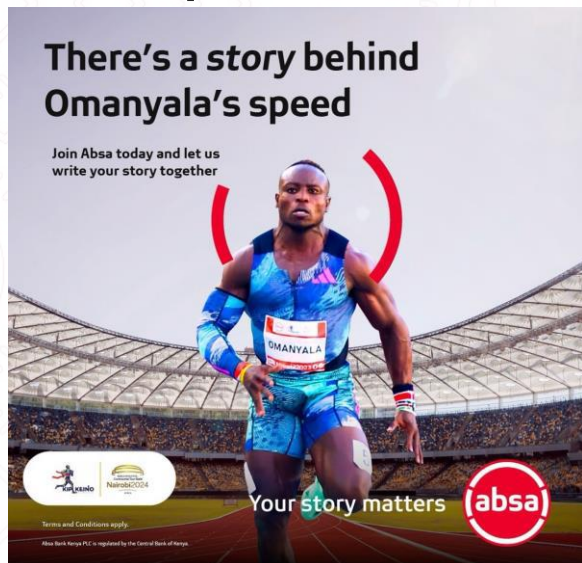
1. China export to Kenya at USD 7.88 bn
2. China Imports from Kenya at USD 228 mn
3. MSMEs importers estimated at 42,000

Your story matters





Our Brand re-positioning: We have made significant progress in bringing our new brand promise “Your Story Matters” to life, further growing our brand equity



Strong performance on key metrics

▲ 20% increase in both consideration and connection

No. 1 most reputable brand in the market by Globe scan

No. 1 most trusted financial brand by Globe scan



Awards by Think Business

- 2nd Best Bank in Agency Banking
- 2nd Best Bank in SME Banking
- 2nd Best Bank in Product Marketing
- 2nd Best Bank in Asset Finance

Your story matters





For our colleagues: We are building a home of talent and diversity

Supporting our colleagues achieve their aspirations

Gender Diversity



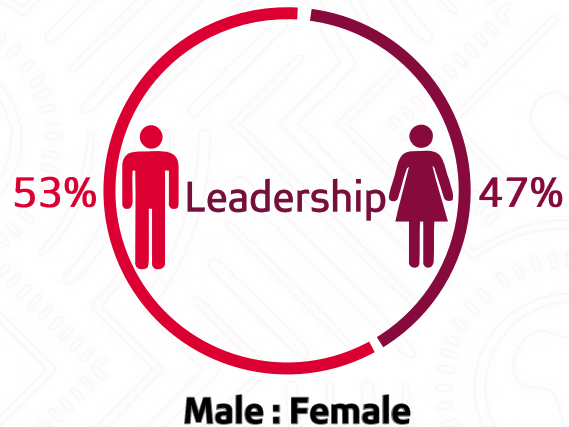
Hires to support growth



Colleague experience index



Job satisfaction index



50

colleagues promoted and seconded for career growth as we help them achieve their aspirations in H1

130

million invested in learning and development for colleagues towards future skills such as data science



For our ESG agenda: As part of our ESG agenda, we continue to grow our sustainable finance portfolio, while investing in strategic community initiatives



Our sustainability progress

(In KES unless stated otherwise)



Sustainable finance, including climate finance



Advanced to start-ups and youth through our Timiza platform



Advanced towards MSMEs with 30% of this being to women led business

Ready to work



Computer labs



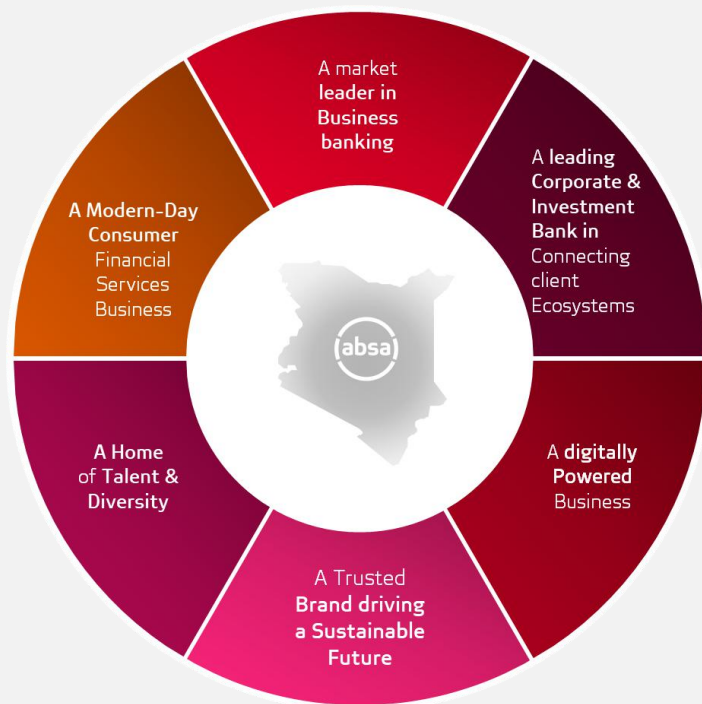
Women led businesses



Community Work



In conclusion: We are making positive progress in execution of our strategy



We have made significant progress in executing our strategy with *strong financial and non-financial results*

We have recorded impressive growth in our *customer numbers* across our business signifying health of our franchise

We continue to *modernize our infrastructure* to enhance customer experience with *KES 3 billion invested*

We are *significantly investing in upskilling* our people, building a home of talent, diversity and inclusion

Our brand continue to be a pull factor, with a *growing reputation* and *increased customer loyalty*

We are making positive progress in execution of our ESG agenda towards being a *Force For Good* in communities we operate in

Financial Performance

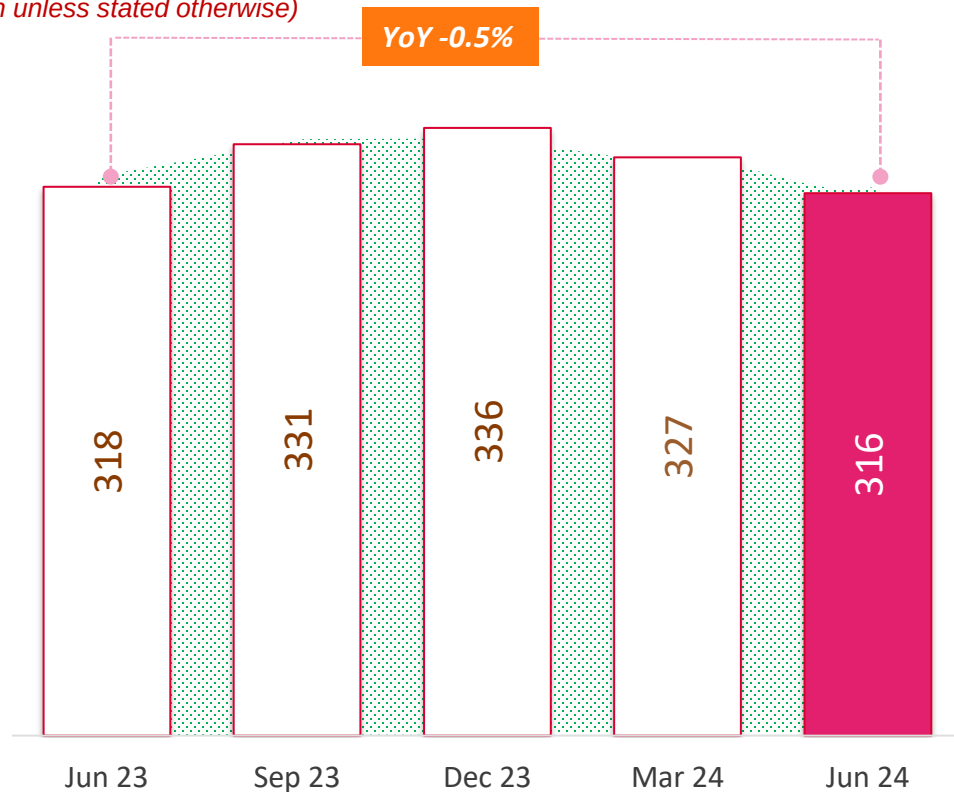


Yusuf Omari
Chief Financial Officer

Bolstered balance sheet: Our balance sheet remains resilient in a tough macro economic environment

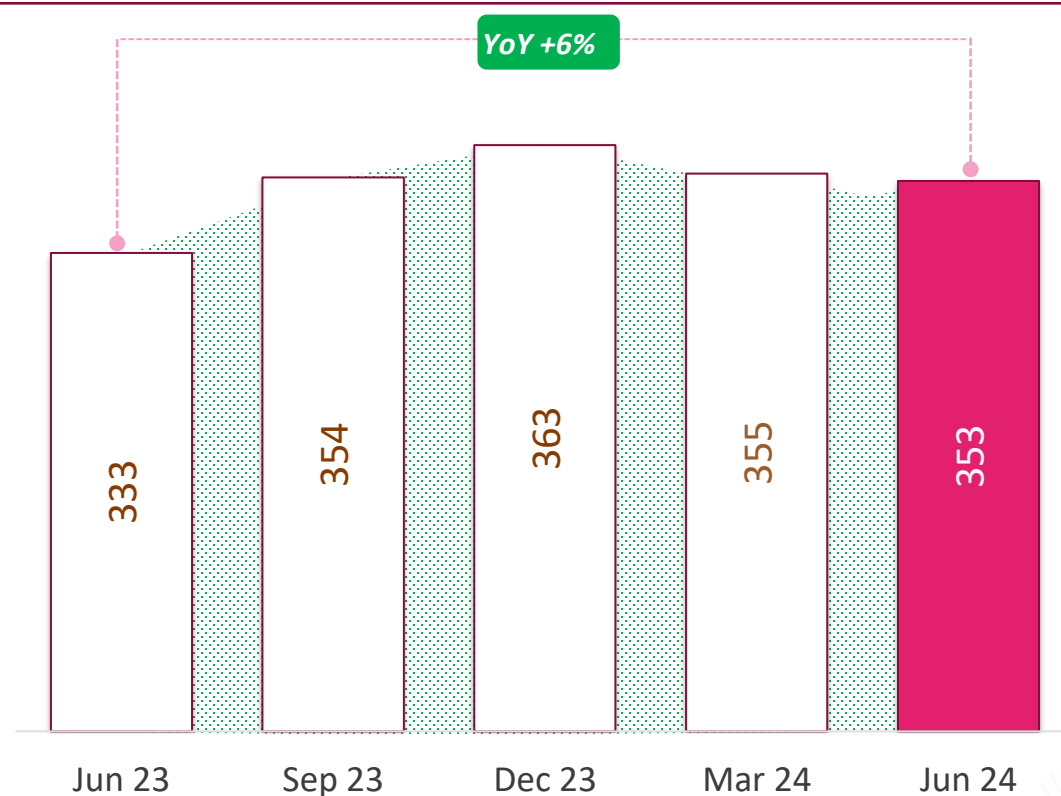
Customer Loans and Advances

(In KES bn unless stated otherwise)



- Diversified growth driven by mortgages, secured lending and trade loans in corporate and business bank
- Strengthened Local Currency

Customer Deposits



- Focus is on attracting **cheaper deposits** to lower the cost of funding
- Cost of funds H124 at 5% (H123 at 3%)

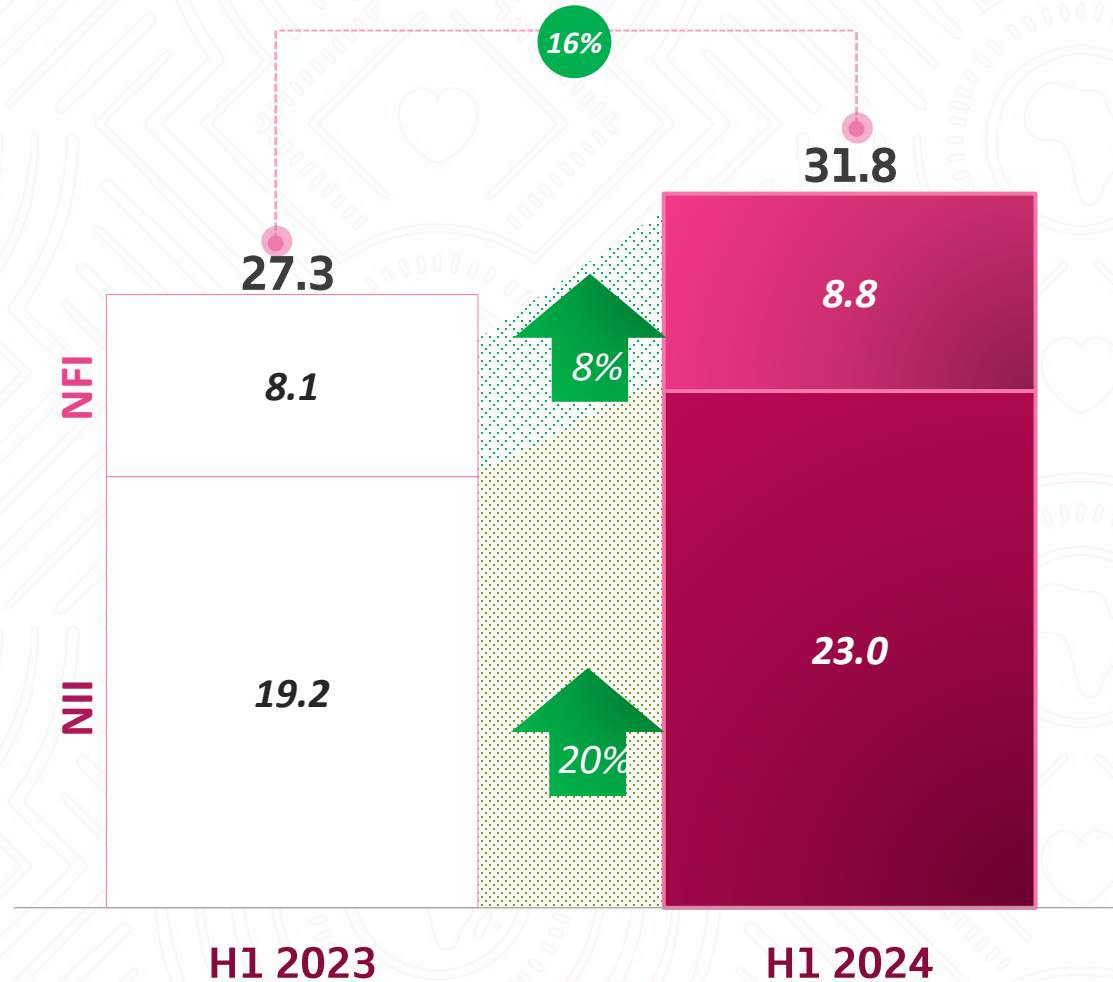
Your story matters



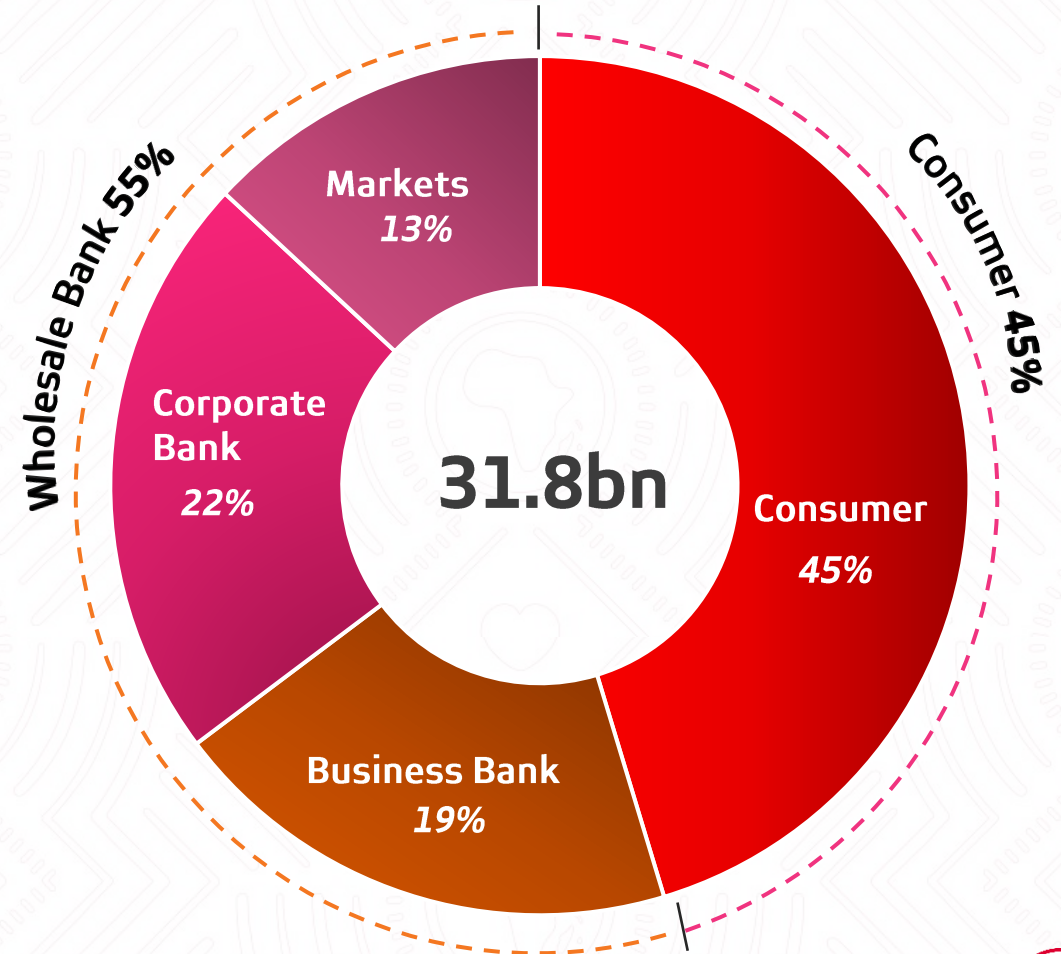
Significant momentum in revenue: Double digit growth of 16% supported by a diversified business as a result of our multi-year investments

Revenue Diversification: NII and NFI

(In KES bn unless stated otherwise)



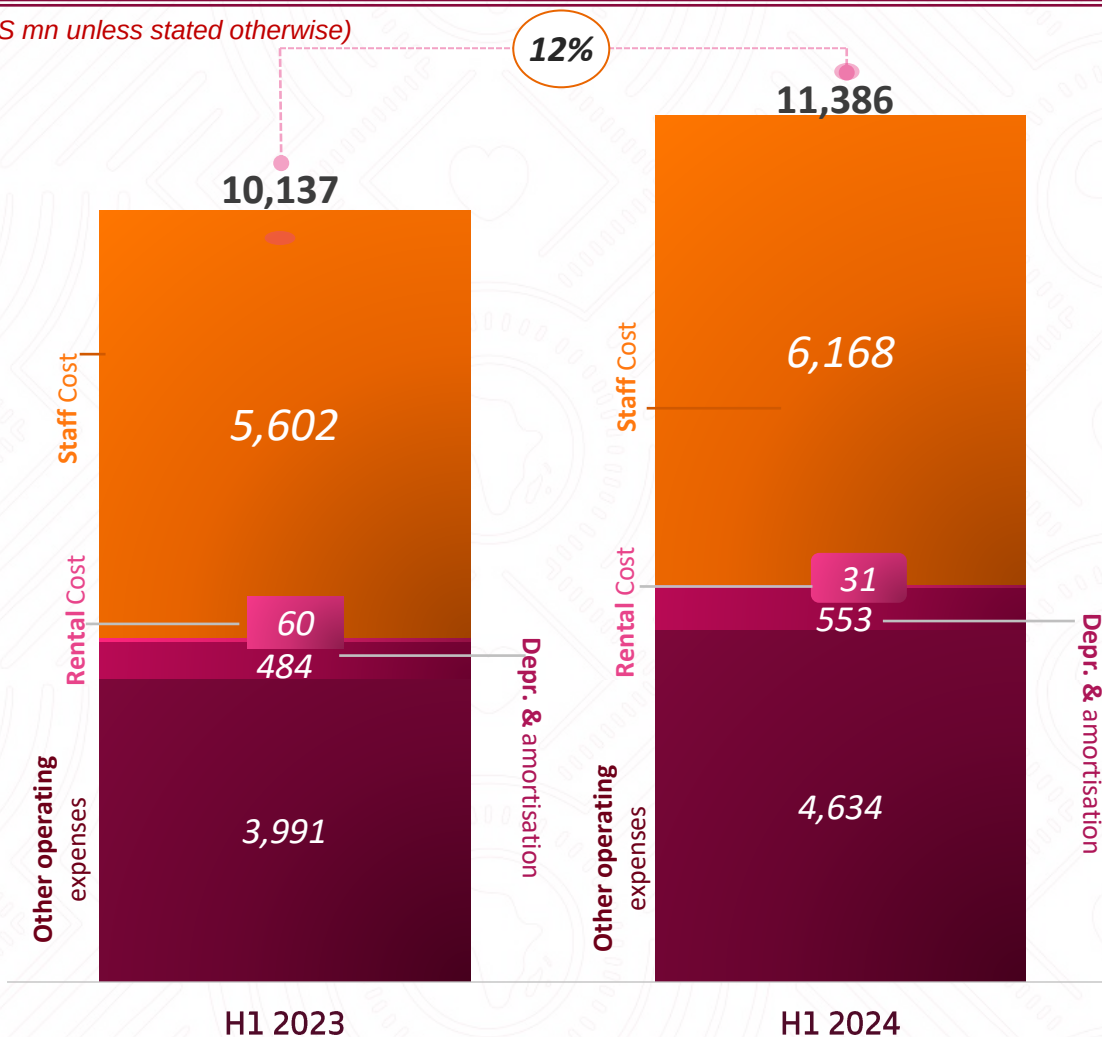
Revenue Diversification by business



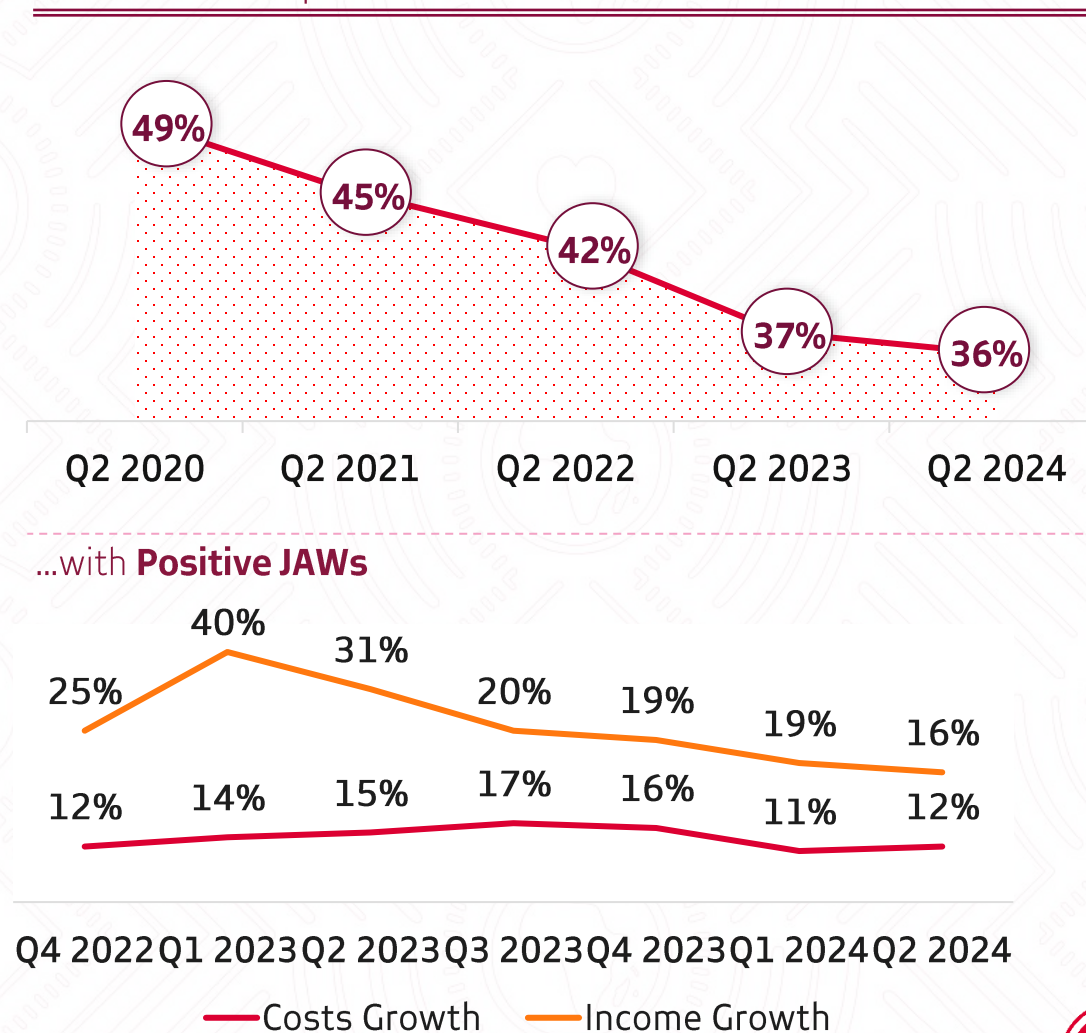
Sustained improvement in efficiency: Strategic investments for future growth driving costs, however we are sustaining efficiency levels with positive JAWs

Total Cost growth from inflation and investments

(In KES mn unless stated otherwise)



Improved **Cost to Income Ratio**



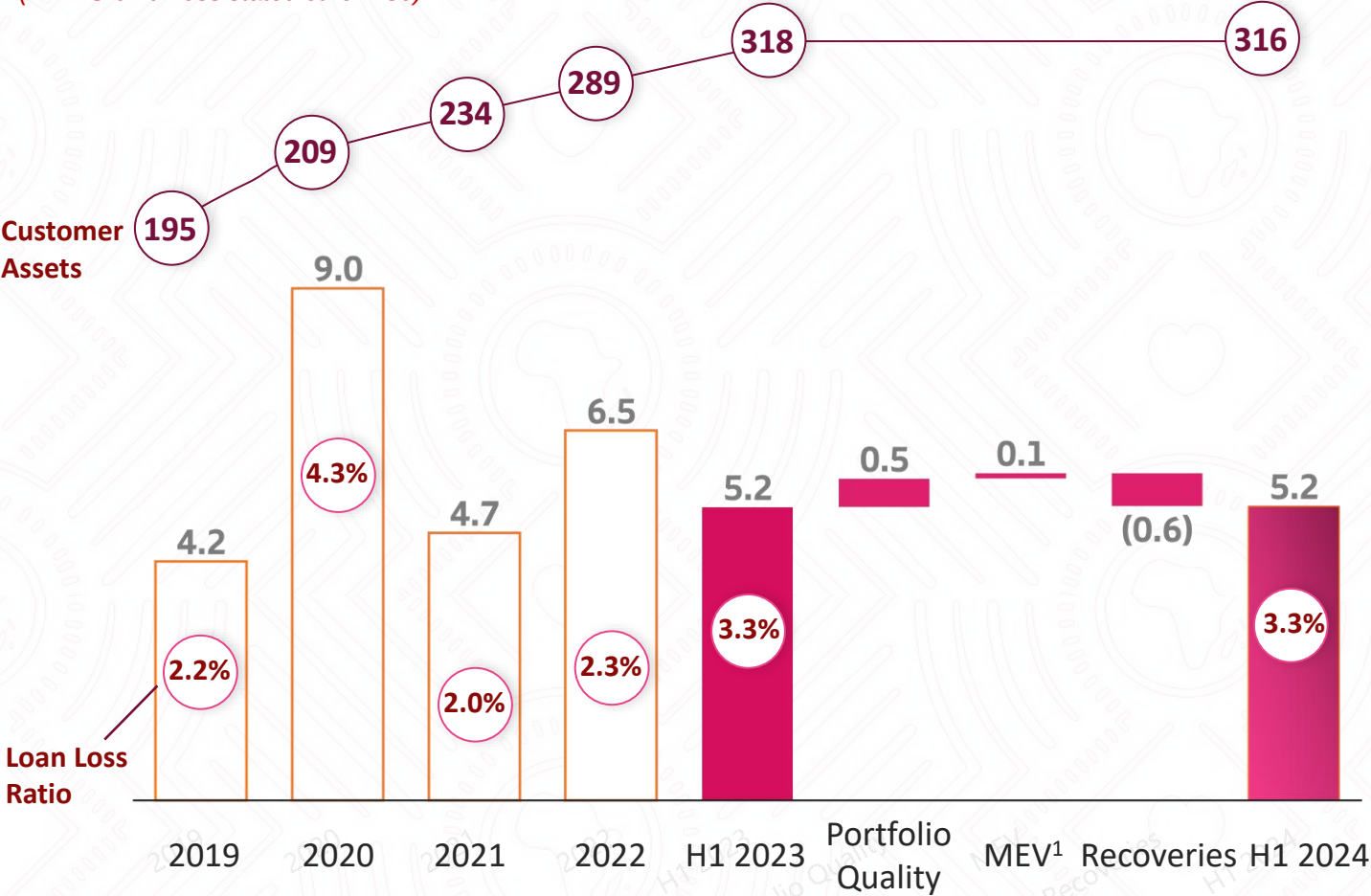
Your story matters



Portfolio quality better than industry: Marginal growth in NPLs however the environment remains challenging

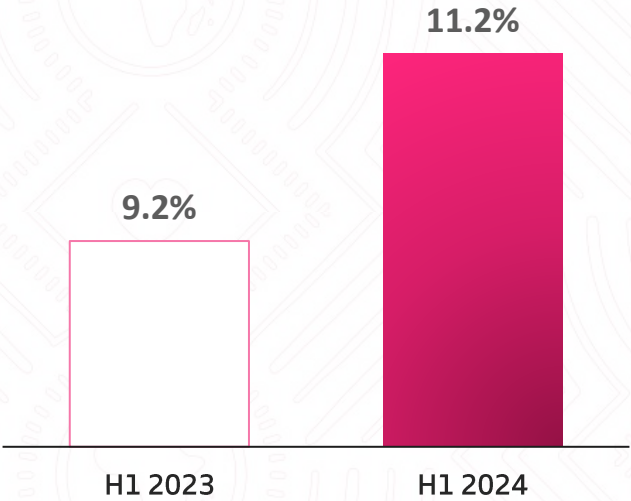
Impairment relative to growth

(In KES bn unless stated otherwise)



Gross NPLs Ratio

Industry 16.6% ²



Notes
1. MEV – Macro Economic Variables
2. Industry gross NPLs (Non-Performing Loaning) as at June 2024.

Accelerated top-line driven profitability and balance sheet growth

(In KES bn unless stated otherwise)

P&L Indicators	H1 2023	H1 2024	Comment	
Income	27.3	31.8	16%	↑
Net Interest Income	19.2	23.0	20%	↑
Non Funded Income	8.1	8.8	8%	↑
Operating Costs	(10.1)	(11.4)	12%	↑
Impairment	(5.2)	(5.2)	0%	→
Profit Before Tax	12.1	15.3	27%	↑
Profit After Tax	8.3	10.7	29%	↑
Balance Sheet				
Customer Assets	318	316	(0%)	→
Customer Liabilities	333	353	6%	↑

Cost-to-income ratio improved markedly with profitability supporting better ROE

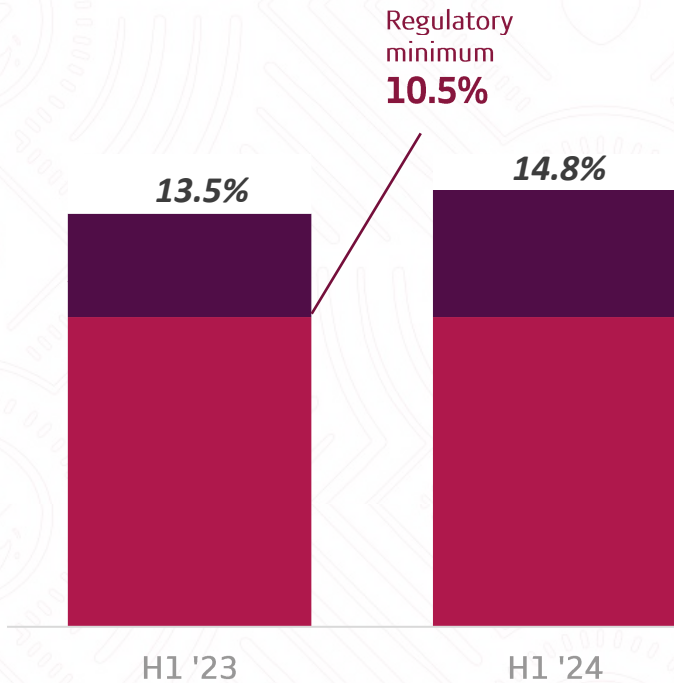
Indicators	H1 2023	H1 2024		
Cost-to-Income Ratio	37.1%	35.8%	Marked improvement (130 bps)	↓
Loan Loss Rate	3.3%	3.3%	Maintained due to prudent recoveries	→
Yield on Loans	12.8%	16.0%	Impact from the increased CBR ¹	↑
Cost of Funds	3.0%	5.0%	Driven by higher rate cycle	↑
ROE	26.1%	29.3%	Recovery in ROE ² driven by better earnings and Optimization of capital	↑

Notes

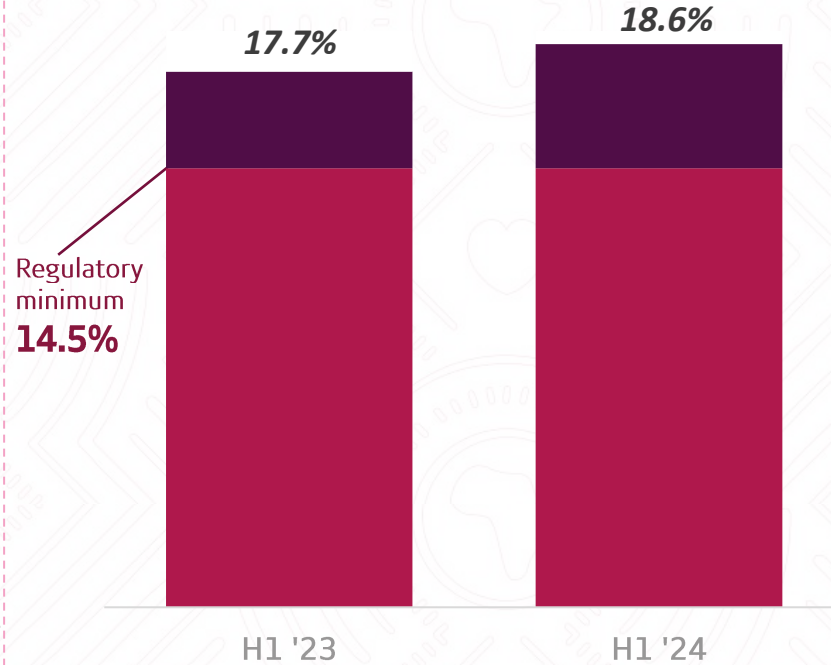
1. CBR – Central Bank Rate
2. ROE – Return on Equity

Strong capital and liquidity ratios : Providing capacity to support growth ambition and capital distribution

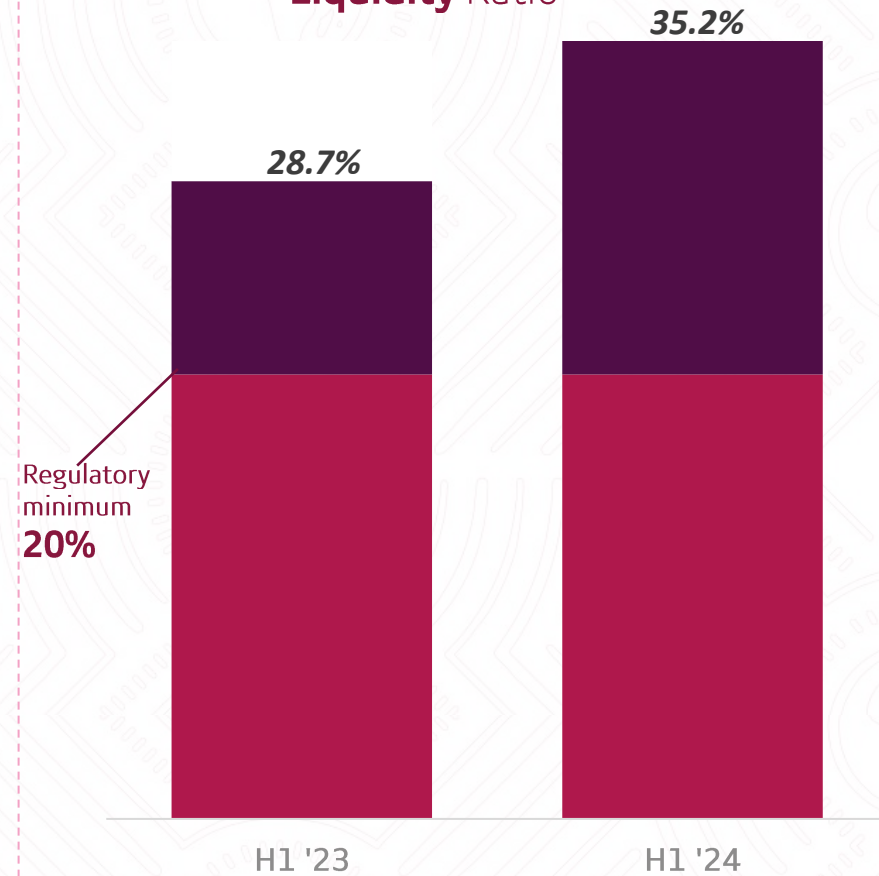
Core Capital Ratio



Total Capital Ratio



Liquidity Ratio



■ Buffer ■ Regulatory Minimum

Guidance : Our strategy supports a positive medium-term guidance

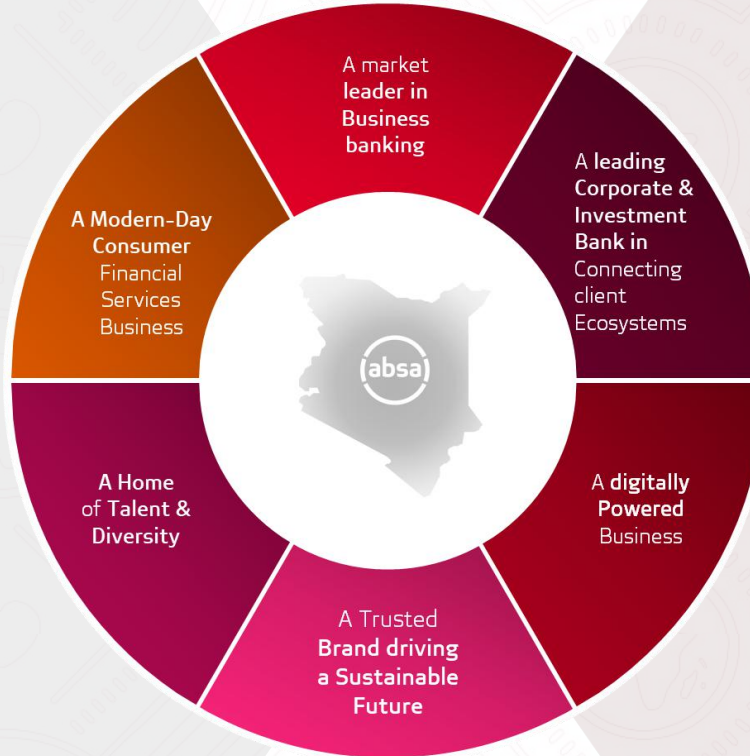
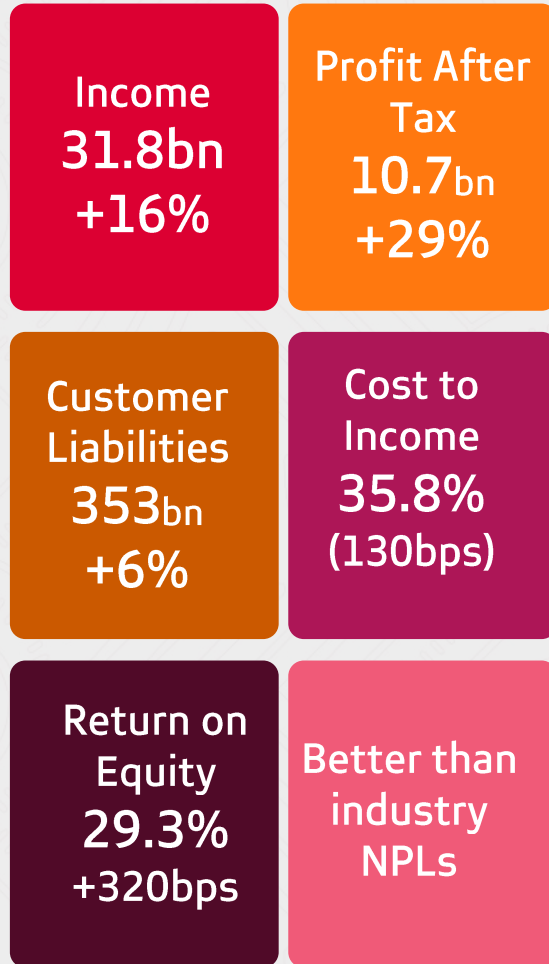
Principal financial metrics	... medium-term target	...as at H1 2024
 Growth	Double-digit revenue growth	✓
 Efficiency and re-investment Capacity	Cost-to-Income Ratio of low 40%'s	✓
 Shareholder Returns	Return on Equity above our Cost of Equity by 5%	✓
 Balance Sheet Quality	Better than industry average portfolio quality (NPL ratio)	✓

Recap



Recap : We have made significant progress in execution of our strategy with strong financial and non-financial results

H1 2024 performance highlights



With clear execution focus areas for 2024 and beyond

On consumer banking:

Build a scalable consumer banking business that is digitally enabled to drive reach, targeting a significant increase in profitable customers.

On business banking:

Expand our reach towards market leadership through enhanced physical and digital distribution, innovation of our propositions and a step change in customer experience.

On Corporate and Investment Bank:

Connecting client ecosystems with the objective of delivering-the-firm and in doing so, become the primary partner for our clients. This effort will leverage best-in-class transactional banking capabilities

On a digitally powered business:

Digitalize core banking capabilities. Sustain investments towards modernizing our technology chassis, enabling scale in partnerships and acquisition through the launch of Banking as a Service platforms and new customer propositions.

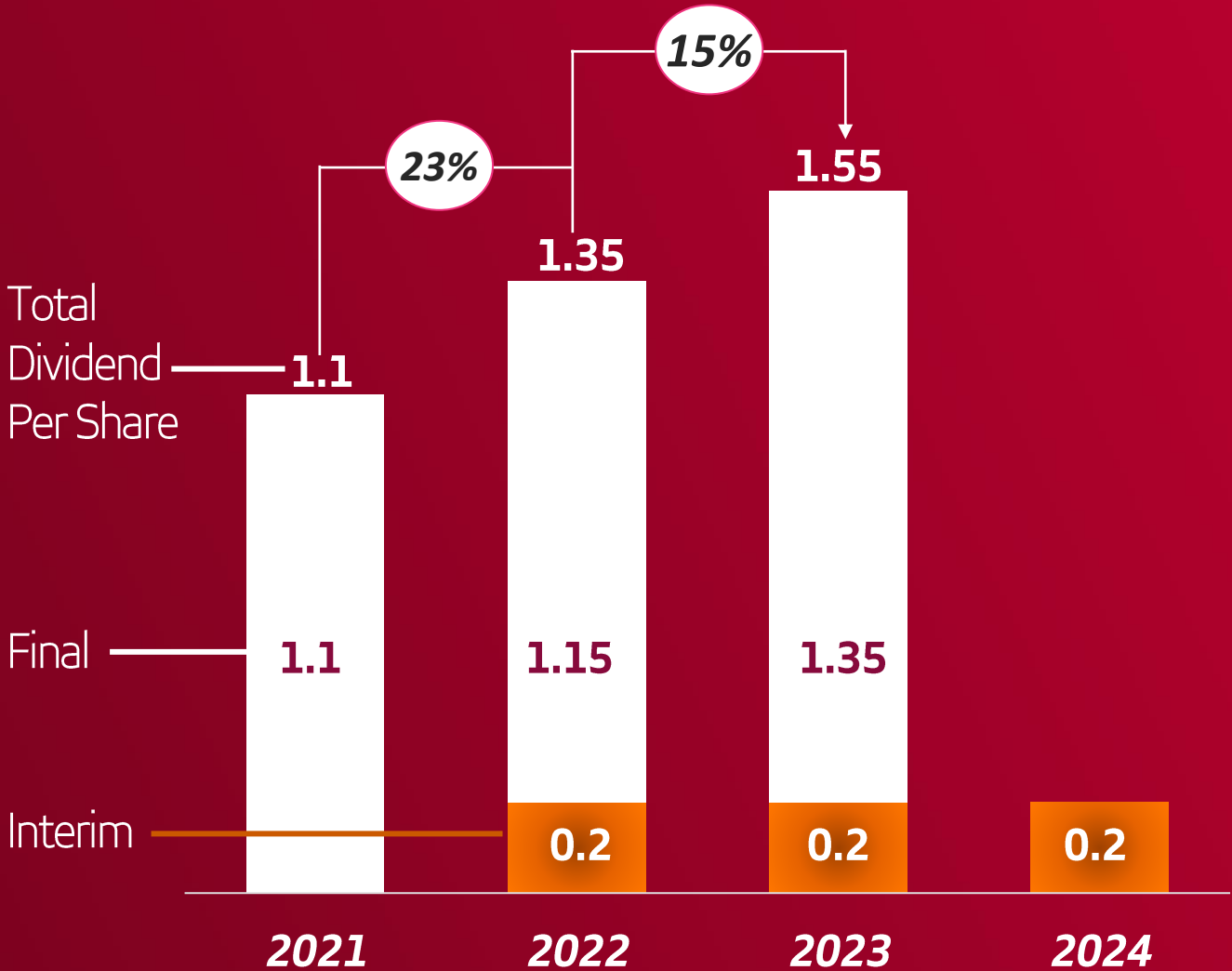
On trusted brand driving a sustainable future:

Remain number 1 Trusted Financial Services Brand in Kenya through building a locally relevant, always-on brand that drives a sustainable future and being a Force for Good in the communities in which we operate

On home of talent and diversity:

Build a home of talent underpinned by a culture that fosters innovation and embraces all forms of diversity and inclusion

For our shareholders: we are delivering incremental returns for our shareholders over the cycles



The Board of Directors has approved the payment of an interim dividend for the year 2024 of Ksh s. 0.20 per ordinary share of the Company to be paid on or about Tuesday, 15 October 2024 to shareholders registered as at close of business on Friday, 20 September 2024.

(Disclaimer)

Forward-looking statements

Certain statements in this document are forward looking that relate to, among other things, the plans, objectives, goals, strategies, future operations and performance of Absa Bank Kenya PLC . Words such as “anticipates”, “estimates”, “expects”, “projects”, “believes”, “intends”, “plans”, “may”, “will” and “should” and similar expressions are typically indicative of a forward-looking statement. These statements are not guarantees of Absa Bank Kenya PLC future operating, financial or other results and involve certain risks, uncertainties and assumptions.

Accordingly, actual results and outcomes may differ materially from these expressed or implied by such statements. Absa Bank Kenya PLC makes no representation or warranty, express or implied, that the operating, financial or other results anticipated by such forward-looking statements will be achieved and such forward-looking statements represent, in each case, only one of many possible scenarios and should not be viewed as the most likely or standard scenario.

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